

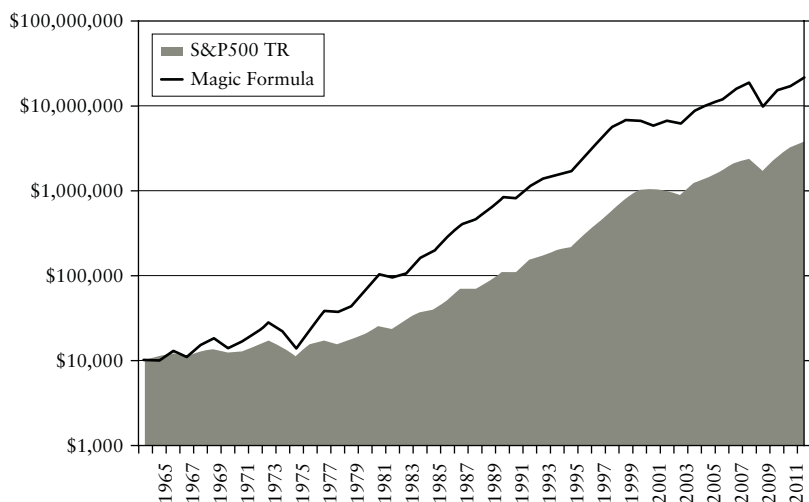


FIGURE 4.1 Logarithmic Chart of Magic Formula and S&P 500 (Total Return) Performance (1964 to 2011)

Source: Eyquem Investment Management LLC.

did substantially and regularly outperform the S&P 500 Index over the full period, and at comparable risk to the market. In short, we concurred with Greenblatt's assessment that the Magic Formula was, to quote Graham, "quite satisfactory."

Further studies examining the returns to the Magic Formula outside the United States have found comparable market-beating results. In 2006 James Montier tested the returns to the Magic Formula in Europe, the UK, and Japan using data from between 1993 and 2005.¹³ He limited the universe to stocks comprising the FTSE and the MSCI indices, each of which contains large capitalization stocks. Montier equally weighted the stocks, which has the effect of boosting returns, but controlled for this by comparing the results to equally weighted versions of the indices. Montier found that the Magic Formula outperformed the market by 8.8 percent in Europe (excluding the UK), 7.3 percent in the UK, and 10.8 percent in Japan, and all did so at lower risk than the respective market. Montier concluded that his "results certainly support the notions put forward in the *Little Book*. In all the regions, the *Little Book* strategy substantially outperformed the market, and with lower risk!"¹⁴ The out-of-sample evidence is compelling that the Magic Formula has consistently beaten the market, and at comparable or lower risk. Whether we examine differently sized stocks measured by market capitalization, or different markets geographically and temporally,